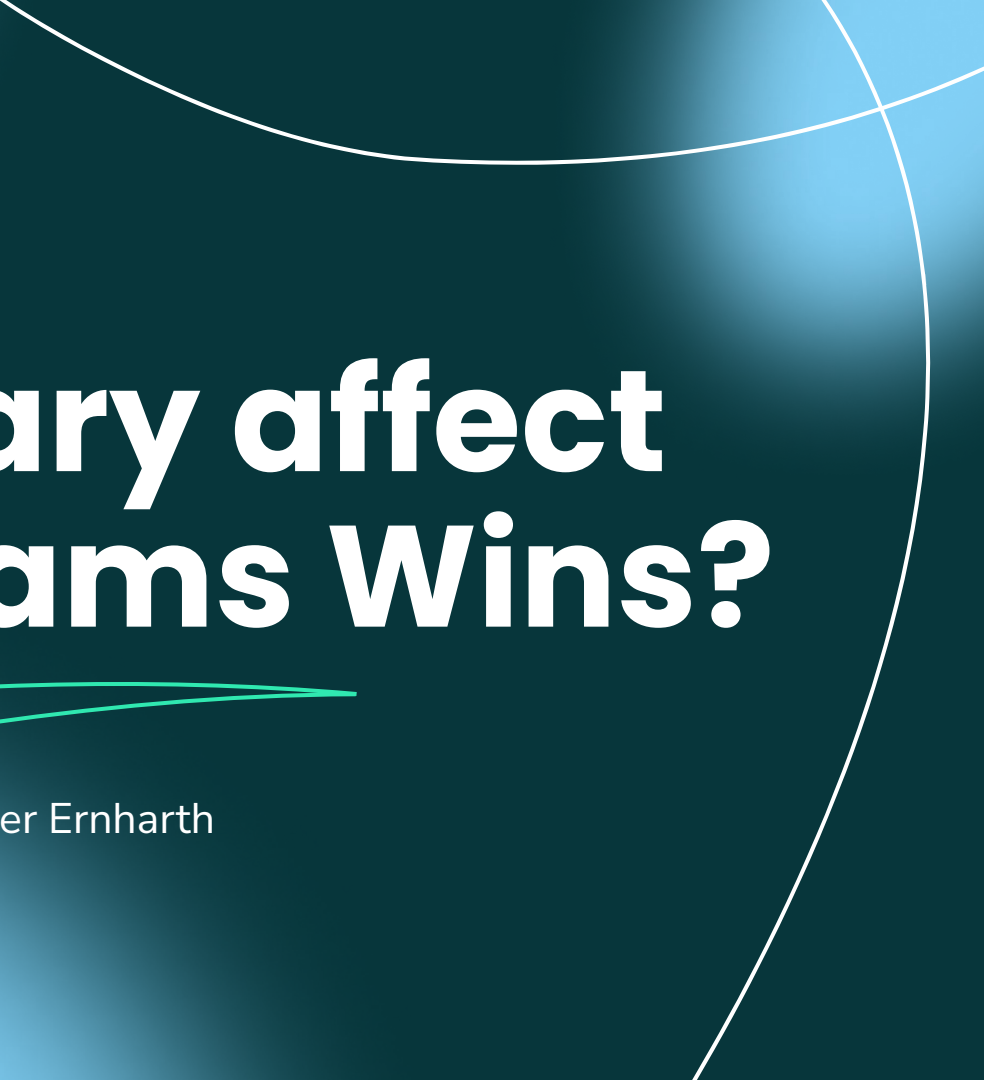


Does Salary affect An NBA Teams Wins?

A decorative teal swoosh underline is positioned below the title.

Christopher Ernharth

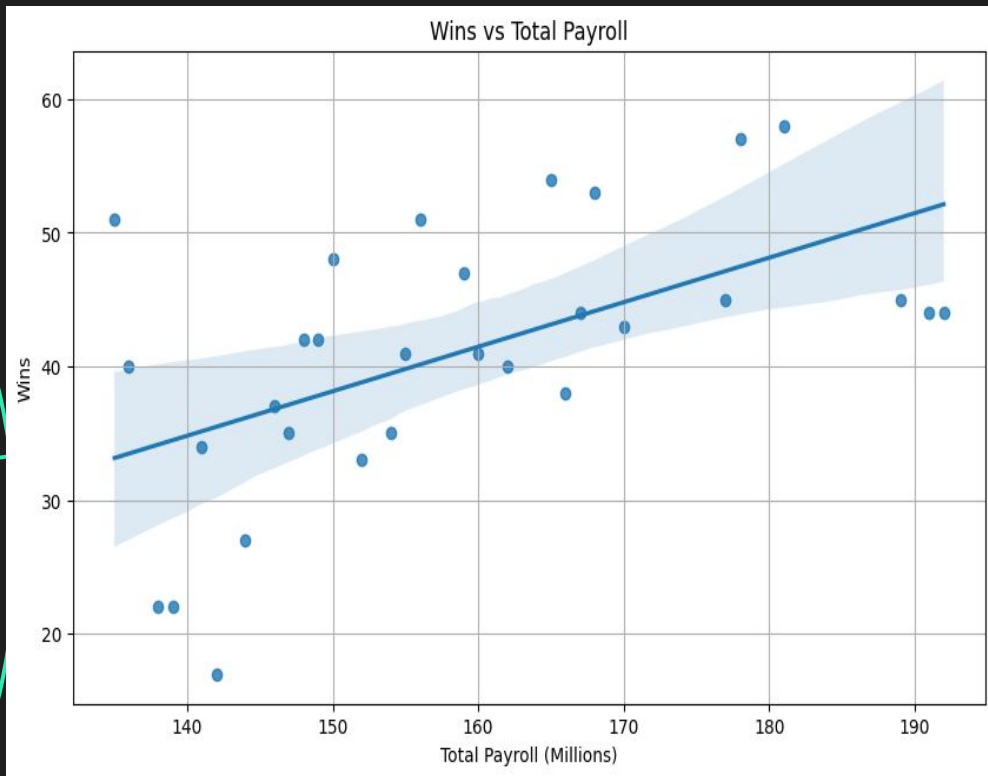
A large, thin white arc is positioned in the top right corner of the slide.

Approach



- Does spending millions more on high value players guarantee a team to be more successful in the season
- 30 NBA teams
- Variables:
 - Total_Payroll_USD (independent)
 - Wins
- Statistical model:
 - $BO + B1 * Total_payroll_USD + e$

Results



- Positive relationship between Payroll and wins
- Null Hypothesis Rejected ($p=0.002$)
- Salary explains about 31% of the variation in wins ($R^2=0.306$)
- OLS assumptions Satisfied
- A 1 million dollar increase in payroll results in an average increase in 0.33 wins